The private sector, which has entered generation in a big way, has found to its chagrin that the power it supplies is not fully paid for. This has made many thermal power plants set up by private-sector companies go sick. Renewable power companies had become the darlings of foreign investors as such power is both green and competitive. However, the flurry of investments in renewables has also stopped on account of payment concerns.

Policy of Overcharging and Forcibly Retaining Industry to Pay for Losses in Other Segments Has Failed India

Can a business that fleeces its highest paying and most valuable customers thrive, or for that matter even survive for long? The electricity supply business in India is essentially in the hands of DISCOMs. These utilities have been pursuing a policy of excessively overcharging their industrial and commercial consumers, while providing no assurances of supplying reliable and uninterrupted power. The sector has been, until very recently, in major supply deficit, only recently shifting to excess supply mode. Despite this fundamental shift, DISCOMs have not changed their policy of fixing above-market power supply rates for industry.

The strategy by DISCOMs to overcharge industrial customers to cross-subsidize their other buyers has also been responsible for making Indian industry non-competitive. It seemed to work for some time in partly sustaining the convoluted model of electricity supply and pricing in India. But with captive power-generation capacity reaching critical mass and industry no longer remaining a dominant buyer, the last chapter in the existence of DISCOMs may well be written soon.

The average cost of power generation is around Rs 4 per unit. The average cost of power to industries in India is Rs 7–10 per unit, varying among states, depending upon the type of industrial customer and so on. Power is sold to agriculture at less than Rs 1 per unit; in many states, it is